

AML RISK ASSESSMENT & CUSTOMER RISK SCORING GUIDELINES

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1. PURPOSE AND INTRODUCTION

These guidelines establish the methodology for assessing and rating the money laundering, terrorist financing, and financial crime risk associated with Nordvik Bank ASA's customer relationships, products, channels, and geographic exposures. The guidelines operationalise the Bank's risk-based approach (RBA) as required by applicable AML/CFT legislation and international standards.

A robust risk assessment is the foundation of an effective financial crime prevention programme. By understanding and quantifying the risks it faces, the Bank can allocate resources efficiently, calibrate the intensity of controls proportionately, and demonstrate to regulators that its approach is evidence-based and defensible.

This document applies to all risk assessments conducted within Nordvik Bank ASA including: customer risk assessments (individual and entity); product and service risk assessments; channel risk assessments; geographic risk assessments; and the overall enterprise-level ML/TF risk assessment (Business-Wide Risk Assessment).

2. REGULATORY REQUIREMENTS

Requirement	Source	Obligation
Business-Wide Risk Assessment	Money Laundering Act 2018; FATF Rec. 10; EBA/GL/2021/02	Assess ML/TF risk of the Bank's overall ML/TF risks; updated when material
Customer Risk Assessment	FATF Rec. 10; 4AMLD Art 8	Risk-based CDD proportionate to identified customer risk
Product/Service Risk Assessment	FATF Rec. 15; 4AMLD Art 8	Assess ML/TF risk of each product and service offered
Geographic Risk Assessment	FATF Recommendations; AS 4-6 Guidance	Assess country/jurisdiction risk for all customer and transaction exposures
Documented Methodology	Finanstilsynet Circular 7/2018	Risk scoring methodology must be documented, justified, and subject to senior o
Independent Review	EBA/GL/2021/02; Internal Risk Charter	Risk ratings and assessments subject to independent review annually

3. RISK-BASED APPROACH (RBA) FRAMEWORK

The Bank's RBA framework is structured around three levels of risk assessment that interact to produce the Bank's overall financial crime risk posture:

3.1 Level 1 – Enterprise (Business-Wide) Risk Assessment (BWRA)

The BWRA is the Bank's top-level assessment of its aggregate exposure to ML/TF risk. It considers all customer segments, products, delivery channels, and geographic markets served by the Bank. The BWRA is updated annually and whenever a material change occurs (new product, market entry, M&A, significant regulatory development). It is approved by the Board Risk & Compliance Committee and forms the basis for the Bank's annual AML/CFT programme priorities.

The BWRA assesses inherent risk (before controls) and residual risk (after controls). The gap between inherent and residual risk represents the effectiveness of the Bank's control environment. Where residual risk exceeds the Bank's risk appetite, the BWRA triggers remediation action.

3.2 Level 2 – Segment / Product Risk Assessments

Segment risk assessments are conducted for each major customer segment (retail, SME, corporate, private banking, correspondent) and for each material product or service (current accounts, lending, trade finance, cards, digital assets, etc.). These assessments feed into both the BWRA and the customer-level risk scoring model.

3.3 Level 3 – Individual Customer Risk Assessment (CRA)

The CRA is conducted for each customer at onboarding and updated at each periodic review. The CRA draws on the segment and product risk assessments to apply context to the specific customer's characteristics. The CRA output is a customer risk rating (Low, Medium, High, Critical) that drives the level of CDD applied, monitoring intensity, and review frequency.

3.4 Inherent vs. Residual Risk

Risk Concept	Definition	Assessment Approach
Inherent Risk	The level of ML/TF risk that exists before controls or the risk factor applied	Assessed through the risk factor applied in Section 4. Represents the worst case scenario
Control Effectiveness	The degree to which existing controls reduce the level of ML/TF risk	Assessed through the control testing programme of Internal Audit and Compliance
Residual Risk	The level of ML/TF risk remaining after controls are applied	Inherent Risk adjusted for control effectiveness. This is the risk the Bank is exposed to

4. INHERENT RISK ASSESSMENT

Inherent risk is assessed across four primary risk dimensions. Each dimension is assigned a risk level (Low / Medium / High / Critical) and a weighting reflecting its relative importance in the overall risk picture. The aggregate inherent risk score drives the starting point for the customer risk rating.

4.1 Risk Dimensions Overview

Dimension	Description	Weight in Overall Score
Customer Risk	Who is the customer? What is their background, occupation, and history?	35%
Product / Service Risk	What products and services does the customer use? What ML/TF risk do these products present?	20%
Geographic Risk	Where is the customer based? Where do their funds originate? Where do they transact?	25%
Delivery Channel Risk	How does the customer interact with the Bank? What is the nature of the onboarding and ongoing relationship?	20%

4.2 Customer Dimension – Inherent Risk Factors

The customer dimension considers the following inherent risk factors:

PEP Status: Highest inherent risk. Foreign PEPs carry higher risk than domestic. Former PEPs are de-risked on a graduated basis.

Occupation / Business Activity: Cash-intensive, cross-border, or opaque businesses carry higher risk. Public-sector salaried employees carry lower risk.

Legal Structure Complexity: Simple personal ownership = low; multi-layer offshore structures = high/critical.

Negative History: Prior ML/fraud convictions, regulatory sanctions, or credible adverse media.

Customer Behaviour: Reluctance to provide information; inconsistent statements; unusual interest in AML processes.

Source of Wealth: Inherited or employment income = low; obscure or unverifiable sources = high.

Nationality / Residence: Nexus to high-risk jurisdictions increases risk rating.

Business Relationships: Counterparties in high-risk jurisdictions or industries; known criminal associates.

4.3 Risk Scoring Heat Map

The following heat map illustrates the relationship between customer type and country risk in determining the starting inherent risk rating:

Customer Type \ Country Risk	Low Country Risk	Medium Country Risk	High Country Risk	Critical Country Risk
Standard Retail Customer	LOW	LOW	MEDIUM	HIGH
SME / Small Business	LOW	MEDIUM	HIGH	CRITICAL
Corporate (Domestic)	LOW	MEDIUM	HIGH	CRITICAL
Corporate (Multinational)	MEDIUM	HIGH	HIGH	CRITICAL
PEP (Domestic)	MEDIUM	HIGH	CRITICAL	CRITICAL
PEP (Foreign)	HIGH	CRITICAL	CRITICAL	CRITICAL

VASP / MSB	HIGH	HIGH	CRITICAL	CRITICAL
Correspondent Bank	MEDIUM	HIGH	CRITICAL	CRITICAL

5. CUSTOMER RISK SCORING MODEL

The Bank's Customer Risk Scoring Model (CRSM) produces a numerical risk score for each customer that maps to a risk rating band. The CRSM is embedded in the Bank's customer onboarding and KYC management system (Temenos T24 KYC Module) and is applied automatically at onboarding and at each periodic review.

5.1 Scoring Model Structure

The CRSM operates in three stages:

- **Stage 1 – Base Score:** Calculated from the customer's inherent risk factors across the four dimensions (Section 4). Each factor is assigned a score of 1–5 (1=Lowest risk, 5=Highest risk) and multiplied by its factor weight. The weighted scores are summed to produce the base score (range: 0–100).
- **Stage 2 – Modifier Application:** Certain factors act as automatic overrides or score multipliers. Positive modifiers (e.g., long-standing relationship with clean history) can reduce the score. Negative modifiers (e.g., sanctions match, PEP status) apply mandatory minimum scores.
- **Stage 3 – Risk Rating Assignment:** The final adjusted score is mapped to a risk rating band. Where the automated rating is 'High' or 'Critical', a KYC analyst must review and confirm or override the rating with documented justification.

5.2 Risk Rating Bands

Score Range	Risk Rating	Colour Code	CDD Level	Review Frequency
0–24	LOW	Green	Standard CDD	Every 5 years
25–49	MEDIUM	Amber	Standard CDD (enhanced monitoring)	Every 3 years
50–74	HIGH	Red	Enhanced Due Diligence (EDD)	Annually
75–100	CRITICAL	Dark Red	Full EDD + Senior Approval	Every 6 months

5.3 Mandatory Minimum Ratings (Override Rules)

The following conditions trigger a mandatory minimum risk rating regardless of the calculated score:

Condition	Mandatory Minimum Rating
Customer is a foreign PEP (current)	CRITICAL
Customer is a domestic PEP (current)	HIGH
Customer has nexus to FATF black-listed jurisdiction	CRITICAL
Customer has nexus to FATF grey-listed jurisdiction	HIGH (minimum)
Customer is a VASP or MSB	HIGH (minimum)
Customer has prior ML/fraud conviction	CRITICAL
Adverse media – serious credible allegations	HIGH (minimum); Compliance review required
Correspondent banking relationship	HIGH (minimum)
Customer structure includes >3 corporate layers	HIGH (minimum)
UBO cannot be identified	CRITICAL – relationship not to be accepted

6. RISK FACTOR DEFINITIONS & WEIGHTING

The following table defines each risk factor used in the CRSM, its scoring criteria, and its weight in the overall score calculation. Weights may be adjusted by the Head of Financial Crime with Model Risk sign-off following annual review.

Factor ID	Risk Factor	Weight	Score 1 (Low)	Score 3 (Medium)	Score 5 (High)
CF-01	Customer Type / Segment	8%	Standard retail individual	SME / small business	PEP, VASP, MSB, correspondent
CF-02	Occupation / Industry	7%	Employed, salaried; public sector	Self-employed; professional services	Cash intensive; unlicensed dealer; gambling
CF-03	Legal Entity Structure	6%	Simple personal / one-level domestic	Domestic company standard	Multi-layered offshore; trust; nominee
CF-04	PEP Status	10%	No PEP nexus	Former domestic PEP (>5 years)	Current foreign PEP; close associate
CF-05	Country of Residence	8%	Norway / EEA low-risk	EEA higher-risk or equivalent	FATF grey/black list
CF-06	Country of Incorporation (entity)	7%	Norway / EEA	Non-EEA regulated jurisdiction	FATF grey/black list; secrecy jurisdiction
CF-07	Source of Funds	8%	Salary; pension; verified income	Business income (documented)	Cash; unverifiable; cash
CF-08	Source of Wealth	7%	Employment / inheritance (verified)	Business ownership (documented)	Unverifiable; inconsistent with lifestyle
CF-09	Transaction Geography	9%	Domestic Norway / EEA only	Multiple jurisdictions – low risk	High-risk jurisdictions; FATF concerns
CF-10	Product Usage	6%	Basic savings / current accounts	Standard payments + credit	High-risk products: trade finance, crypto, FX
CF-11	Transaction Volume & Value	8%	Low / consistent with profile	Moderate; some variation	High volume / value; inconsistent with profile
CF-12	Delivery Channel	5%	Branch / BankID digital (verified)	Mixed – digital + branch	Non-face-to-face; third-party introducer
CF-13	Relationship Duration	4%	>5 years; consistent behaviour	1-5 years; minor anomalies	New customer; <12 months; no history
CF-14	Adverse Information	7%	None	Minor adverse media (unverified)	Confirmed adverse media; prior convictions
CF-15	UBO Transparency	10%	UBO fully identified and verified	UBO identified; some verified	UBO opaque; nominee structure; uncooperative

Note: Factor weights must sum to 100%. Total above: 100%. Weights are reviewed annually by the Model Risk Committee.

7. PRODUCT & CHANNEL RISK

Product and channel risk reflects the inherent ML/TF vulnerability of the Bank's product portfolio and the ways in which customers access those products. The following table summarises the Bank's product risk classification:

Product / Service	Inherent ML/TF Risk	Key Risk Factors	Mitigating Controls
Standard current account	LOW	Limited; salary-based inflows	Standard TM; CDD
Savings account	LOW	Passive product; limited transactions	Annual review
Mortgage / consumer loan	MEDIUM	Large value; potential inflated appraisals	Property valuation; SoF check
Business current account	MEDIUM-HIGH	Business transactions; cash	Enhanced CDD; trade verification
Credit card	LOW-MEDIUM	Velocity; CNP fraud	Real-time fraud scoring; limits
International wire transfers	HIGH	Cross-border; anonymity risk	SWIFT screening; sanctions check; TM rules
Trade finance	HIGH	Invoice manipulation; TBML	Trade document verification; counterparty CDD
Private banking	HIGH	High value; complex structures; PEPs	CDD; SoW; dedicated compliance officer
FX / currency exchange	HIGH	Conversion layering	Customer profile; volume limits; TM rules
Digital asset services	CRITICAL	Pseudonymity; speed; cross-border	VASP CDD; Travel Rule; on-chain analytics
Correspondent banking	CRITICAL	Nested accounts; jurisdiction exposure	Sub-CDD on respondent; SWIFT monitoring
Prepaid cards	HIGH	Anonymous; cross-border	Load limits; CDD at activation; TM
Mobile banking	MEDIUM	Account takeover risk	Behavioural biometrics; step-up auth

8. GEOGRAPHIC RISK ASSESSMENT

The Bank maintains a four-tier Country Risk Classification (CRC) that reflects the ML/TF and financial crime risk associated with each jurisdiction. The CRC is updated at minimum quarterly based on the sources listed below and immediately when a jurisdiction is added to or removed from a major watchlist.

8.1 Country Risk Classification Tiers

Tier	Classification	Criteria	Examples (Indicative)
Tier 1	Low Risk	FATF member; strong AML/CFT regime; low corruption (CPI > 60); high FATF index	Norway, Switzerland, Germany, Netherlands, Japan, Canada, Australia
Tier 2	Medium Risk	Adequate AML/CFT framework; moderate corruption (CPI 40-60); some jurisdictional concerns	Brazil, South Africa, Mexico, United Kingdom, Colombia
Tier 3	High Risk	FATF grey list or equivalent; weak AML/CFT measures (CPI < 40); design (if applicable) concerns	Myanmar, Pakistan, Syria, Yemen, Iran (if applicable)
Tier 4	Critical Risk	FATF black list; UN/EU/OFAC targeted jurisdictions; high ML/TF or AML/CFT FATF black list	North Korea, Iran, Cuba, Russia, Belarus, Syria, Yemen, Iran (if applicable)

8.2 Country Risk Sources

- FATF Plenary Statements (High-Risk and Other Monitored Jurisdictions – updated February and October)
- EU Commission Delegated Regulation on High-Risk Third Countries
- OFAC Sanctions Programme List
- UN Security Council Sanctions Lists
- Transparency International Corruption Perceptions Index (annual)
- Basel AML Index (annual)
- US State Department INCSR (International Narcotics Control Strategy Report)
- FSB (Financial Stability Board) and Egmont Group advisories
- Finanstilsynet and Nordic FIU advisories

9. RISK RATING OUTCOMES & REQUIRED ACTIONS

The following table specifies the mandatory actions and controls applicable to each customer risk rating. All actions are minimum standards; the Head of Financial Crime may prescribe additional measures for specific customers or segments.

Risk Rating	Onboarding Approval	CDD Level	Monitoring	Review Frequency	Additional Requirements
LOW	Business Line	Standard CDD	Standard TM rules; system-generated alerts	Every 5 years	None beyond standard policy
MEDIUM	Business Line + Compliance sign-off	Standard CDD + SoF declaration	Enhanced TM parameters; priority review of alerts	Every 3 years	Annual sanctions screening; adverse media checks
HIGH	Head of Financial Crime approval	Full EDD (Section 8 of KYC Policy)	Increased alert thresholds; manual review of alerts	Annually or all P1/P2 alerts	Monthly adverse media; SoW verification
CRITICAL	CCO + Board BRCC for correspondence	Full EDD + additional investigation	Intensive monitoring profile; all transactions reviewed	Every 6 months	Monthly adverse media; quarterly SoW verification

10. AI & MODEL-BASED RISK SCORING

The Bank deploys AI and machine learning models to augment the rules-based CRSM. AI-enhanced risk scoring applies to all customer relationships and is refreshed continuously as new transaction and behaviour data is ingested.

10.1 AI Risk Scoring Capabilities

- **Anomaly Detection:** Unsupervised ML identifies customers whose transaction behaviour deviates significantly from their peer group cohort, triggering a risk score uplift and analyst review.
- **Network Analysis:** Graph-based algorithms identify hidden connections between customers, counterparties, and known bad actors that would not be apparent from individual account analysis.
- **Natural Language Processing (NLP):** Adverse media monitoring uses NLP to screen news articles and public data for references to the Bank's customers, extracting sentiment and relevance scores.
- **Predictive Risk Modelling:** Supervised ML models trained on historical SAR and fraud case data predict the probability of a customer being involved in ML or fraud activity.
- **Document Analysis:** AI-assisted extraction and validation of KYC documents, detecting inconsistencies, forgeries, and data mismatches.

10.2 AI Model Governance Requirements

All AI models operating within the risk assessment framework are subject to:

- Pre-deployment validation by the Model Risk function (Section 9.1 of TM Framework NB-AML-TM-002)
- Quarterly performance monitoring with metrics reported to Model Risk Committee
- Annual independent validation
- Human-in-the-loop review for all AI-generated 'High' or 'Critical' risk scores
- Documented explainability output accompanying every AI risk assessment
- Bias testing on protected characteristics per the Bank's Responsible AI Policy
- Clear audit trail of all model inputs, outputs, and human decisions

10.3 Agent-Specific Controls for AI-Assisted Risk Assessment

Where AI agents are deployed to conduct or assist with customer risk assessments, the following additional controls apply:

- The agent must operate only on complete, verified CDD data – incomplete data must be flagged for human completion before the agent produces an assessment
- The agent must produce a structured output including: risk score, contributing factors, confidence level, and recommended action
- Where the confidence level is below 75%, the case must be automatically escalated to a human KYC analyst
- The agent must not have authority to accept, reject, or approve customer relationships – this authority rests with designated human officers
- All agent outputs must be logged with full provenance (model version, data inputs, timestamp) in the customer file
- Agent recommendations that conflict with mandatory override rules must be overridden automatically, and the conflict logged for model review

11. RISK APPETITE STATEMENT

The Board has approved the following risk appetite for ML/TF and financial crime risk:

Risk Category	Risk Appetite
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Money Laundering (ML)	Zero tolerance for knowingly facilitating ML. Low appetite for inadvertent ML exposure – robust controls
Terrorist Financing (TF)	Zero tolerance – absolute prohibition on TF. Highest priority in control design.
Fraud (external)	Low appetite – controls must prevent and detect fraud rapidly; customer harm minimised.
Fraud (internal)	Zero tolerance for employee-facilitated fraud or corruption.
Regulatory non-compliance	Zero tolerance for deliberate non-compliance. Low tolerance for inadvertent non-compliance – promote
Reputational risk from financial crime	Zero tolerance for association with serious financial crime that could damage the Bank's standing.

ANNEX C RED FLAGS REFERENCE LIBRARY (EXTRACT)

The following red flags are indicative of potential ML/TF risk and must be documented and assessed during KYC and transaction monitoring reviews.

Customer Behaviour Red Flags

- Reluctance to provide required KYC information or supporting documentation
- Provides inconsistent or contradictory information across different touchpoints
- Unusual interest in the Bank's AML procedures, reporting thresholds, or monitoring systems
- Insists on speed of transaction completion without clear business rationale
- Requests to use unusual payment methods or structures without explanation
- Appears nervous or evasive when questioned about source of funds
- Third parties appear to be directing or controlling the customer's instructions

Transaction Red Flags

- Transactions inconsistent with the customer's stated business or occupation
- Large cash transactions or frequent just-below-threshold cash deposits
- Rapid movement of funds through the account (in-and-out within 24 hours)
- Payments to or from high-risk jurisdictions without clear commercial rationale
- Complex chains of transfers through multiple accounts or entities
- Round-number transactions at high frequency
- Payments to counterparties with no apparent relationship to the customer's business
- Credits from multiple unrelated parties followed by immediate withdrawals

Business / Entity Red Flags

- Business with no verifiable physical presence, web presence, or employees
- Mismatch between stated business activity and actual transaction flows
- Ownership structure with layers of companies in multiple jurisdictions with no clear rationale
- UBOs who are nominees with no apparent personal wealth or business background
- Business in operation for a short period but with unusually high transaction volumes
- Financial statements inconsistent with transaction activity

Geographic Red Flags

- Transactions with counterparties in high-risk or sanctioned jurisdictions
- Customer claims residence in low-risk jurisdiction but transacts primarily with high-risk countries
- Address or contact information that cannot be verified against public records
- IP address at login inconsistent with declared country of residence